NIKE Research Evolution

Edition A unchanged baseline

The unchanged Edition A submitted through Brightspace is retained as Edition-A.docx in the repository and is included unchanged in the final Research-Evolution.pdf. Brightspace receipt ID: 0036123438.

Edition A's conclusion was watch/defer: NIKE was around $38, the upside recovery case appeared to be $45-$50, the downside was roughly $28-$32, and a position should wait for a price in the low $30s or reported recovery evidence. The pre-model plan was a FCFF DCF, comparable companies as a sanity check, and reverse DCF; the main unknowns were gross-margin recovery and Greater China stabilization.

Edition B current decision

User: Investment committee with no current NIKE position.
Decision: Watch/defer; do not initiate at the September 2, 2026 close of $38.24. Use a supported range of $30-$49 per share. Reconsider at or below $36.40 or after reported evidence of revenue and margin recovery.

Item	Edition A	Edition B	Primary driver	Evidence or test
Thesis/recommendation	Watch/defer; recovery upside roughly $45-$50, downside roughly $28-$32.	Watch/defer; $30-$49 supported range; no initiation at $38.24.	Mixed: own analysis, course instruction, and peer/AI-assisted research organization.	FCFE base case $30.19; FCFF recovery case $48.53; EV/EBITDA median $45.55; prices are not averaged because the peer range is dispersed.
Data/source choice	Qualitative financial observations and a rough market price.	FY2026 10-K is the primary boundary; September 2 close is the market boundary; comparable-company inputs are separately reconciled.	Course instruction and own source checks.	Cash, debt, shares, revenue, and earnings trace to the 10-K; price is cross-checked against two historical-price tables.
Assumption/model design	Planned FCFF DCF with reverse DCF and comps.	Linked five-year FCFE pro-forma plus FCFF recovery DCF, reverse DCF, and EV/EBITDA triangulation.	Course instruction and own modeling.	Every pro-forma sensitivity run balances; the deliberate cash-plug break raises an error; base inputs restore after sensitivity testing.
Risk/limitation/uncertainty	Gross margin and Greater China were the key unknowns.	Terminal-value concentration, NIKE Direct/Greater China weakness, peer-multiple dispersion, and reinvestment/capex sensitivity are explicit.	Own analysis and peer challenge.	FCFE base has 79.9% terminal-value share; capex test creates a $4.81 per-share span; FY2026 currency-neutral revenue was -2%.

What changed from Edition A to Edition B and why

The action did not materially change: both editions support watch/defer. The evidence became more specific and more constrained. The initial rough upside/downside bands became a $30-$49 range after linked DCF work, a peer-policy-based EV/EBITDA cross-check, and a reverse-DCF comparison. The most important qualification is that neither the $48.53 recovery case nor the $45.55 peer-median result independently justifies an initiation: each relies on conditions that have not yet been reported. The lower $30.19 FCFE base case and the sensitivity results demonstrate why the committee requires a price or evidence

trigger.

AI was used after Edition A to organize sources, structure drafts, and suggest calculation checks. The cited filing, arithmetic, and model outputs were independently checked and are documented in validation-and-ai-use.md.

Edition A unchanged transcription

I selected Nike because it is a company I follow and understand well. Nike dominates the global athletic footwear and apparel market with strong brand recognition and a direct-to-consumer business that should, in theory, give it pricing power. The fund holds no position.

Looking at the financials without any model, I notice that revenue basically went nowhere in FY2026 - flat at around $46 billion after a bad FY2025 where revenue dropped nearly 10%. Gross margin fell from about 44.6% in FY2024 to a trough near 42.7% in FY2025, and it only barely recovered in FY2026. A lot of that came from Nike discounting heavily to clear excess inventory. Greater China fell 13% and Nike's own digital channel fell 8% - those two things worry me the most because they suggest the premium brand story may be under pressure.

That said, Nike still has about $9 billion in cash and short-term investments on the balance sheet against roughly $8 billion in debt, so they are not in financial distress. They can absorb a couple more bad years without a crisis.

My rough pre-model view is that the stock at around $38 is pricing in something close to no recovery - maybe 2 to 3% growth forever. I think the real range of outcomes is wider than that. If the turnaround works and gross margins get back toward 44%, I think the stock is worth somewhere in the $45 to $50 range. If China stays weak and Nike Direct keeps shrinking, I think fair value is closer to $28 to $32. Either way I would not initiate at $38 - I'd want to see either the price drop to the low $30s or see actual evidence of recovery in quarterly filings first.

My plan is to build a FCFF DCF model with WACC and a terminal value as the main method, use comparable company multiples as a sanity check, and run a reverse DCF to find out exactly what growth rate the current market price implies. The biggest unknowns I need to resolve in the model are the gross margin trajectory and whether Greater China can stabilize.

Preliminary action: Watch / Defer. No position until price or evidence moves.